VAT · THE CASH ACCOUNTING SCHEME

Pay the VAT after your customer has paid you.

Normally VAT is due when you issue the invoice, even if the money arrives three months later. There is a scheme where it is due when the money lands. But it runs both ways: you reclaim VAT on purchases only once you have paid your supplier.

HOW YOU JOIN

£1.35m

You can join if you expect to sell £1.35 million or less, excluding VAT, over the next 12 months. There is no application and nobody to tell: you start on the first day of a VAT period.

> It cannot be applied backwards. Invoices from before you start stay on the normal rules.

WHO IT DOES NOT HELP

£1.6m

HMRC names them: a business usually paid as soon as it makes a sale, and one that often reclaims more VAT than it pays. And you must leave once taxable supplies in the last 12 months pass £1.6 million.

> You cannot join with VAT returns or payments outstanding, or while on the Flat Rate Scheme.

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Not sure whether it would help you?

Message us and we will tell you what to look at in your own invoices to work it out.

0330 133 1886

General information. For your own situation, speak to an accountant.